

June 21, 2023

Representative Krista Griffith
411 Legislative Ave.
Dover, DE 19901

Representative Eric Morrison
411 Legislative Ave.
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Senator Bryan Townsend
411 Legislative Ave.
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Representative Edward S. Osienki
411 Legislative Ave.
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Senator Kyle Evans Gay
411 Legislative Ave.
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Representative Stell Parker Selby
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Senator Stephanie L. Hansen
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Representative Kimberly Williams
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Representative Ruth Briggs King
411 Legislative Ave.
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Senator Spiros Mantzavinos
Chair of Senate Banking, Business, Insurance
& Technology Committee
411 Legislative Ave.
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Representative Nnamdi O. Chukwuocha
411 Legislative Ave.
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Senator Trey Paradee
Vice-Chair of Senate Banking, Business,
Insurance & Technology Committee
411 Legislative Ave.
Dover, DE 19901

Representative Debra Heffernan
411 Legislative Ave.
Dover, DE 19901

Representative Melissa Minor-Brown
411 Legislative Ave.
Dover, DE 19901

RE: Delaware Personal Data Privacy Act (HB 154) – Oppose

Dear Representative Griffith, Senator Townsend, Senator Gay, Senator Hansen, Representative Briggs King, Representative Chukwuocha, Representative Heffernan, Representative Minor-Brown, Representative Morrison, Representative Osienki, Representative Parker Selby, Representative Williams, Chair Mantzavinos, and Vice-Chair Paradee:

On behalf of the advertising industry, we write to oppose HB 154.¹ As presently drafted, HB 154 contains provisions that are out-of-step with privacy laws in every other state that has enacted privacy legislation to date. We ask you to harmonize HB 154 to require disclosure of the categories of

¹ Delaware HB 154, 152nd Gen. Assembly Reg. Sess. (2023), as amended by HA 1 and HA 4, located [here](#) (hereinafter, “HB 154”).

a controller's third-party partners rather than disclosure of the categories of third-party partners to which a controller has disclosed personal data specific to a consumer.

We and the companies we represent, many of whom do substantial business in Delaware, strongly believe consumers deserve meaningful privacy protections supported by reasonable laws and responsible industry policies. However, we are concerned that state efforts to pass privacy laws will only add to the increasingly complex privacy landscape for both consumers and businesses throughout the country. We and our members therefore support a national standard for data privacy at the federal level.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, long-standing and emerging publishers, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.² By one estimate, more than 21,000 jobs in Delaware are related to the ad-subsidized Internet.³ Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with you further on our suggested amendments to HB 154 outlined here.

I. The Bill Diverges from Existing Privacy Laws Because It Requires Controllers to Disclose the Categories of Third-Party Partners Specific to a Consumer

HB 154 diverges from existing state privacy laws by requiring controllers to disclose "a list of the categories of third parties to which the controller has disclosed *the consumer's* personal data" upon a consumer's request.⁴ Other states that have enacted privacy laws do not include this impractical requirement. Instead, all other state privacy laws require companies to disclose the categories of third parties to whom they *generally* transfer personal data rather than the categories of third-party recipients that are specific to a single consumer.⁵

Requiring documentation or disclosure of entities specific to each consumer would be operationally burdensome, as controllers change business partners frequently, and companies regularly merge with others and change names. For instance, a controller may engage in a data exchange with an entity representing a new third party category of on the same day it responds to a consumer disclosure request. HB 154's disclosure requirement would either force the controller to refrain from engaging in commerce with the new third party until its consumer disclosures are updated *for each individual consumer*, or risk violating the law. This burden would be compounded as the controller would have to analyze if, how, and when each new third party business partner interacted with data about each consumer. The requirement to disclose categories of third-party partners specific to each individual consumer that makes a request is thus an unreasonable restraint on commerce.

Additionally, from an operational standpoint, constantly updating lists of categories of third-party partners a controller works with that must be tailored to each consumer would take significant resources and time away from companies' efforts to comply with other new privacy directives in HB

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

³ *Id.* at 124.

⁴ HB 154 at Sec. 12D-104(a)(5) (emphasis added).

⁵ See, e.g., Cal. Civ. Code § 1798.110; Va. Code Ann. § 59.1-578(C); Colo. Rev. Stat. § 6-1-1308(1)(a) (effective Jul. 1, 2023); Conn. Gen. Stat. § 42-520(c) (effective Jul. 1, 2023); Utah Rev. Stat. § 16-61-302(1)(a) (effective Dec. 31, 2023).

154. While we appreciate that the bill’s amended language removes the requirement to provide specific names of third-party partners—which would be even more operationally unreasonable—the current language still fails to create a workable privacy standard for businesses in Delaware because it would require a manual, consumer-by-consumer analysis of third-party partners in response to each individual consumer’s request. As presently drafted, controllers may be forced to jeopardize new business opportunities and relationships just to compile, maintain, update, and distribute these ephemeral lists.

The bill should also clarify that controllers are not required to comply with a consumer’s request to obtain a list of the categories of a controller’s general third-party partners when the controller cannot authenticate said request. Although the bill language states as much when discussing how controllers would comply with other consumer rights requests, the bill defines “Authenticate” to exclude the consumer right to obtain information about categories of a controller’s third-party partners.⁶ The operational burden of complying with such requests, and the risk of unintentionally providing an incorrect list of third-party partners to the consumer, would be significantly heightened without a reasonable requirement for controllers to confirm that a requester is the relevant consumer who is entitled to exercise the right with respect to the personal data at issue. We therefore recommend amending the definition of “Authenticate” to include the consumer right afforded under paragraph (5) of subdivision (a) of § 12D-104 to align the definition with other provisions already in HB 154.

The consumer benefit that would accrue from consumers receiving a list of categories of third-party partners specific to them as opposed to a list generalized to the controller’s operations would be minimal at best. For these reasons, we encourage you to reconsider this onerous language, which severely diverges from the approach to disclosures taken in existing state privacy laws. To align HB 154 with other state privacy laws, the bill should require disclosures of the categories of the controller’s third-party partners generally rather than a list specific to an individual consumer.

* * *

⁶ Compare HB 154 § 12D-104(c)(4), with HB 154 § 12D-102(2) (defining “Authenticate” to only apply to consumer rights to know/access, correct, delete, and port data).

We and our members support protecting consumer privacy. We believe, however, that HB 154 would impose particularly onerous requirements on entities doing business in the state without providing meaningful privacy protections for consumers. We therefore respectfully ask you to reconsider HB 154 or amend it to reflect the recommendations set forth in this letter. Thank you in advance for consideration of this letter.

Sincerely,

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